CREDIT MEMO · INVESTMENT COMMITTEE

HALDEN PACKAGING: $85.0M UNITRANCHE

Fictional test company. Five-year senior secured unitranche at S+575 to refinance debt and fund the Ridgeway Box add-on.

Committee date: to be confirmed

STRICTLY CONFIDENTIAL

Approve with conditions: leverage is 2.96x, and the QoE decides whether it holds

THE ASK **$85.0M senior secured unitranche**	Refinances the $60.0M existing term loan, funds the $22.0M Ridgeway Box add-on and pays $3.0M of fees. Five years at S+575, 1.00% floor, 98.0 OID.
LEVERAGE **2.96x on pro forma EBITDA**	Gross debt of $85.0M over FY24 pro forma EBITDA of $28.7M. On reported FY24 EBITDA alone it is 3.32x.
CUSHION **37.6% EBITDA fall to the opening covenant**	Measured on gross debt, with no cash netted. The 4.25x step-down leaves a 30.3% fall. The downside case is not in the material.
GATES **Five conditions must close first**	The QoE, the plant 3 environmental report, FY25 year-to-date actuals, debt service and downside case, and the equity reconciliation. Organic FY25 budget EBITDA of $25.3M is below FY24's $25.6M.

Source: test deal pack (deal terms, FY2022 to FY2025 budget, covenant proposal). Derived figures per facts.json.

Lend $85.0M at S+575 with 1.00% floor, once the QoE and plant 3 report close

Approve with conditions

Draft label for the committee. Hold size, amortisation and security are not in the material.

EXHIBIT 1 **Proposed terms** $ in millions unless stated

Term	**Proposed**
Facility	Senior secured unitranche
Amount, $M	85.0
Pricing	S+575, 1.00% floor, 98.0 OID
Tenor	5 years
Use of proceeds	Refinance 60.0, add-on 22.0, fees 3.0
Hold size	*n/a: source needed*
Amortisation	*n/a: source needed*
Security	*n/a: source needed*

CONDITIONS BEFORE FUNDING

- QoE final, with every add-back listed and judged.
- Plant 3 environmental report, with no finding that changes the decision.
- FY25 year-to-date actuals reviewed against the budget.
- Debt service, downside case and covenant definitions added to this memo.
- Sponsor equity reconciled to sources and uses.

If a condition fails, the verdict returns to the committee.

Source: test deal pack (requested terms and use of proceeds). Gaps are listed on the open-items page.

Pro forma leverage is 2.96x against a 4.75x opening covenant

2.96x

Gross debt over FY24 pro forma EBITDA

vs 4.75x opening covenant

$28.7M

FY24 pro forma EBITDA

$25.6M reported plus $3.1M Ridgeway

37.6%

EBITDA fall to 4.75x, gross debt

30.3% to the 4.25x step-down

$25.3M

FY25 budget EBITDA, excluding Ridgeway

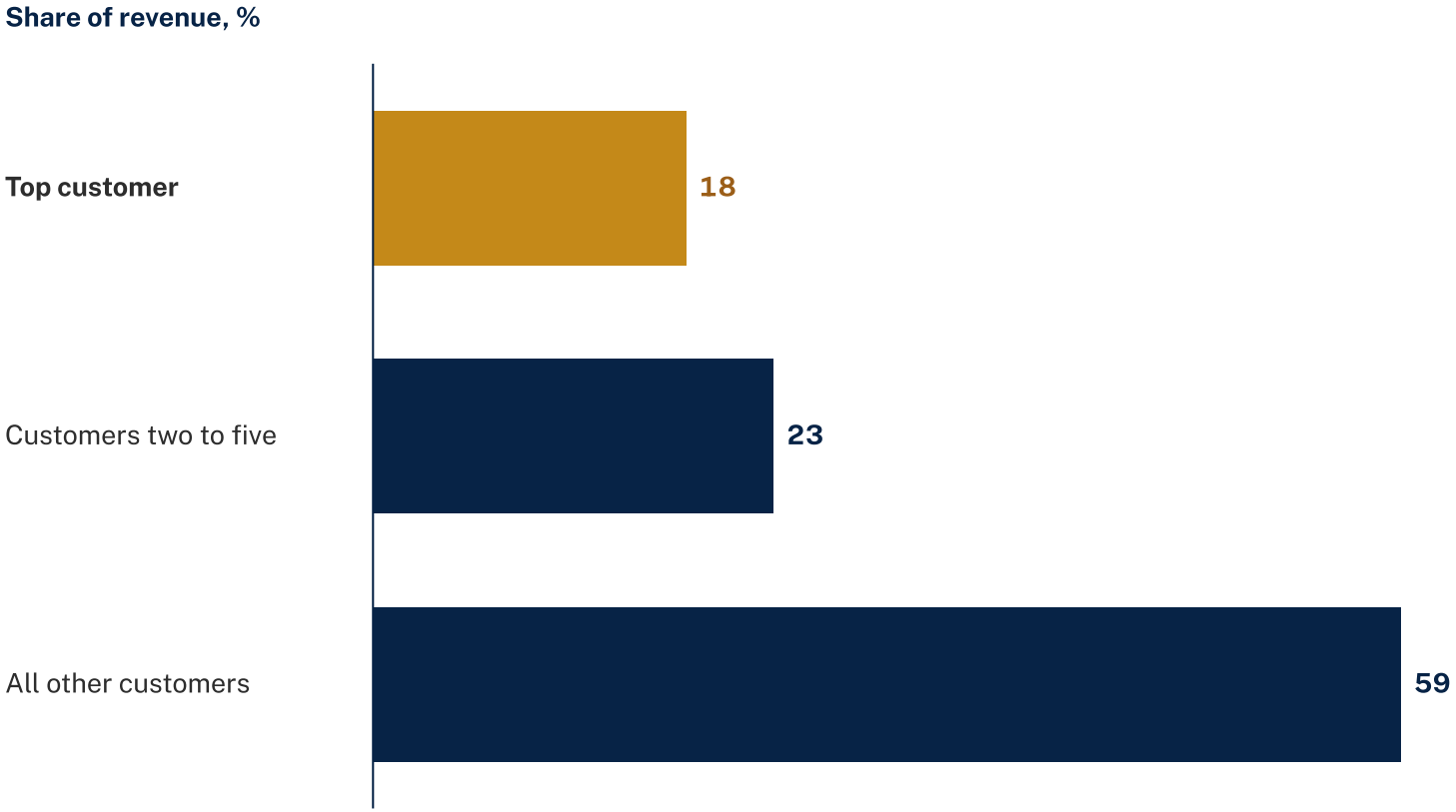
vs $25.6M FY24 reported

Gross debt: the material gives no cash balance, so net leverage is not shown. Covenant tests are on net leverage, so this is the conservative reading.

Source: test deal pack (facility, FY2024 and Ridgeway pro forma EBITDA, covenant proposal). Derived per facts.json.

One customer is 18% of revenue and the top five make up 41%

EXHIBIT 2 **Customer concentration** % of revenue



WHAT THE RANKING SAYS

- The top customer is 18% of revenue.
- Customers two to five are 23%, so the top five together are 41%.
- All other customers make up 59%.
- Contract terms, tenure and renewal dates are not in the material.

Tagged WORTH A QUESTION in the risks table.

Source: test deal pack (top customer and top five share of revenue). Other customers derived as 100 less the top five.

EBITDA rose from $21.3M to $25.6M in two years as margin widened to 16.2%

EXHIBIT 3 **Financial summary** $ in millions, % where stated

Fiscal year	FY22	FY23	FY24	FY25 budget
Revenue	**142.0**	151.5	158.2	171.0
Growth, %	*n/a: FY21 not supplied*	6.7	4.4	8.1
EBITDA	**21.3**	**23.9**	**25.6**	**28.4**
EBITDA margin, %	**15.0**	15.8	16.2	16.6

FY25 budget EBITDA includes $3.1M Ridgeway pro forma EBITDA. FY21 revenue is needed for FY22 growth.
Source: test deal pack (FY2022 to FY2025 budget revenue and EBITDA, FY2024 gross margin and containerboard price). Margins and growth derived per facts.json.

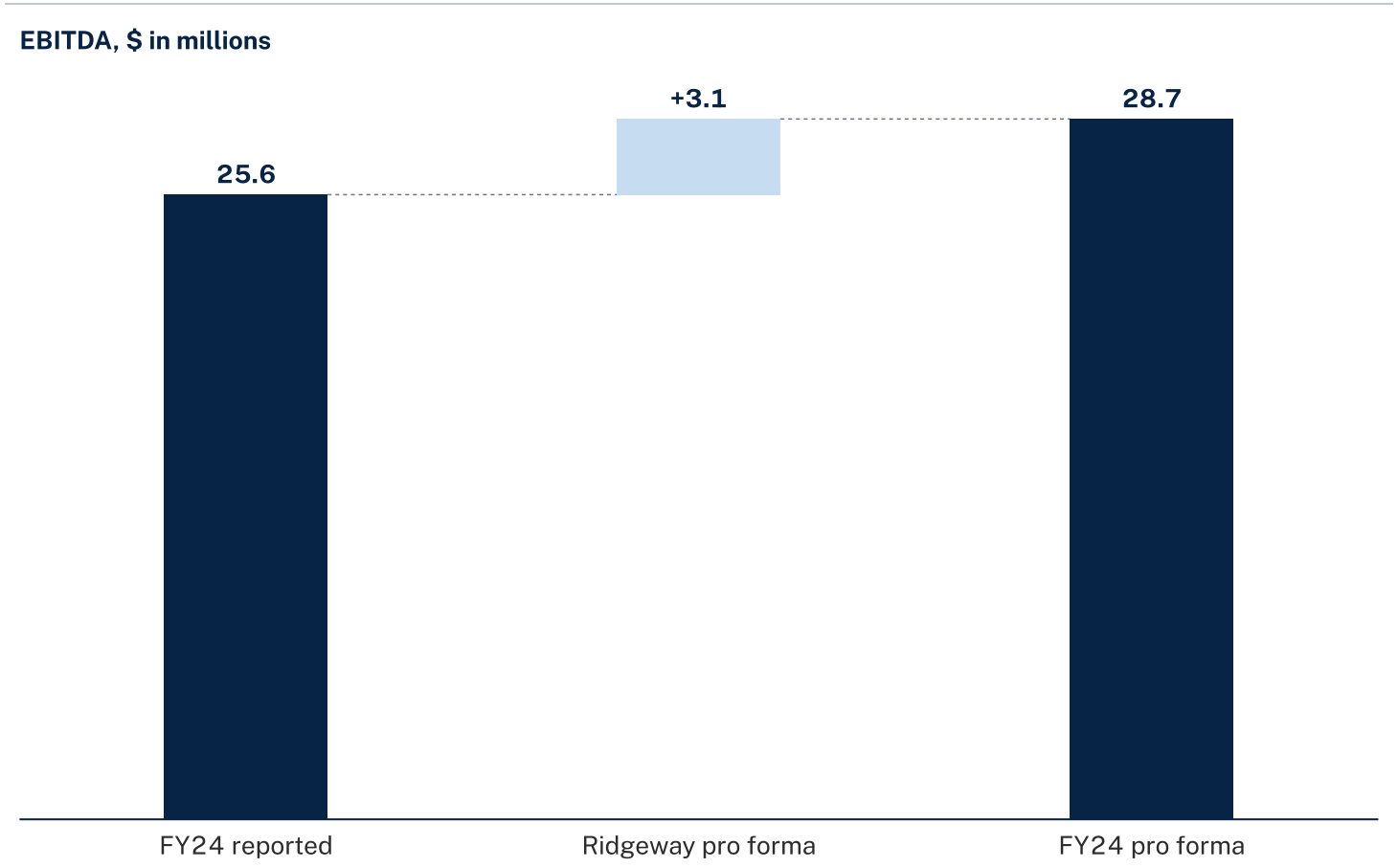
WHAT THE TABLE SAYS

- Revenue grew at 5.6% a year from FY22 to FY24.
- Gross margin held at 24.1% in FY24, while containerboard prices fell 9%.
- Without Ridgeway, FY25 budget EBITDA is $25.3M, below FY24 at $25.6M.

The FY25 budget needs the add-on to keep EBITDA growing.

Pro forma EBITDA of $28.7M rests on $3.1M of Ridgeway EBITDA before the QoE closes

EXHIBIT 4 **Reported to pro forma EBITDA, FY24** $ in millions



WHAT THE BRIDGE SAYS

- Ridgeway adds $3.1M, which is 10.8% of pro forma EBITDA.
- The $22.0M add-on price is 7.1x Ridgeway EBITDA.
- Lender add-backs are not yet listed. The QoE is in progress.

On reported FY24 EBITDA, leverage is 3.32x, not 2.96x.

Source: test deal pack (FY2024 EBITDA, Ridgeway pro forma EBITDA, add-on price). QoE report in progress, not supplied.

Sources and uses tie at $85.0M; the stated 45% equity does not reconcile

EXHIBIT 5 **Sources and uses, pro forma** $ in millions

SOURCES		USES	
		Refinance existing term loan	**60.0**
Senior secured unitranche	**85.0**		
		Ridgeway Box add-on	**22.0**
		Fees	**3.0**
Total sources	**85.0**	**Total uses**	**85.0**

EXHIBIT 6 **Equity check at 45%** $ in millions

Capital	**$m**	**%**
Gross debt, pro forma	**85.0**	55
Sponsor equity, implied	**69.5**	45
Total capitalisation	**154.5**	**100**

Sources and uses show no equity line, and existing equity is not stated. The 45% share implies equity that is not in the funding. A question for the sponsor, not a tie failure.

Source: test deal pack (requested facility, use of proceeds, sponsor equity share). Implied equity and total capitalisation derived per facts.json.

On gross debt, EBITDA can fall 37.6% before the opening covenant binds

EXHIBIT 7 **Proposed covenants, base case** x EBITDA; % EBITDA fall

Covenant	**Level**	**Base, FY24 PF**	**Cushion**
Max total net leverage	4.75x, steps to 4.25x	2.96x gross	37.6% to 4.75x; 30.3% to 4.25x
Min fixed charge cover	1.20x	*n/a: source needed*	*n/a: source needed*

EXHIBIT 8 **EBITDA floors on gross debt** $ in millions; % fall

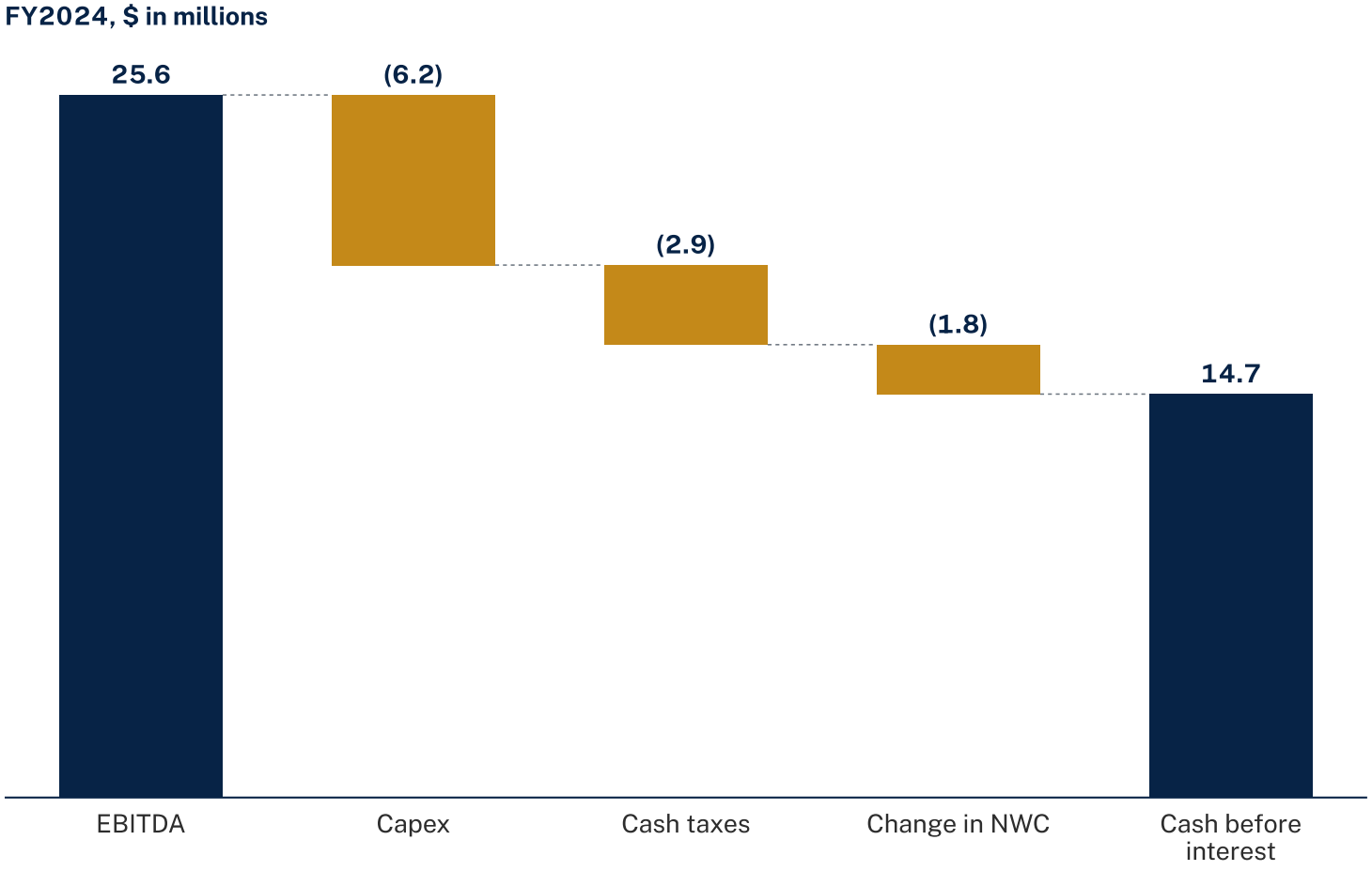
Level	**EBITDA floor**	**Fall from 28.7**
4.75x	**17.9**	37.6%
4.25x	**20.0**	30.3%

Covenant tests net leverage; gross debt is the conservative proxy here. Base case only. Covenant definitions, the downside case and the first test date are not in the material, so downside headroom is not shown.

Source: test deal pack (proposed covenants, pro forma debt, FY2024 pro forma EBITDA). Cushions and floors derived per facts.json.

FY24 cash before interest was $14.7M, 57.4% of EBITDA

EXHIBIT 9 **EBITDA to cash before interest** $ in millions



WHAT THE WALK SAYS

- Capex took 24.2% of FY24 EBITDA.
- Cash taxes were $2.9M, and NWC absorbed $1.8M.
- Interest and scheduled amortisation are not in the material.

Debt service cover cannot be tested until SOFR and the amortisation schedule arrive.

Source: test deal pack (FY2024 EBITDA, capex, cash taxes, change in NWC). Cash before interest derived per facts.json.

Three items change the verdict: EBITDA quality, plant 3 environment, FY25 actuals

EXHIBIT 10 **Risks, tagged** every flag carries one tag

Risk	Evidence in the material	Tag	Mitigant or condition
EBITDA quality	Ridgeway $3.1M is pro forma; add-backs not listed; QoE in progress	CHANGES THE DECISION	QoE final before funding, add-backs listed and judged
Plant 3 environment	Environmental report not supplied	CHANGES THE DECISION	Report reviewed before funding, no finding that changes the decision
FY25 trading	Budget $28.4M; organic $25.3M; no actuals yet	CHANGES THE DECISION	Year-to-date actuals against budget before funding
Customer concentration	Top customer 18%, top five 41%	WORTH A QUESTION	Top customer contract terms and tenure
Equity and capital structure	45% equity not in sources and uses	WORTH A QUESTION	Sponsor equity schedule and existing equity
Input prices	Containerboard down 9% in FY24; gross margin held at 24.1%	WORTH A QUESTION	Management explanation of FY24 margin held

CHANGES THE DECISION reaches the verdict. WORTH A QUESTION is asked before funding and does not move the verdict on its own.
Source: test deal pack. Tags are the drafting team's first read, for the committee to confirm.

Ten items are open; six could change the decision

EXHIBIT 11 **Open items and what closes them** owners are roles until named

Item	Slides	Closes it	Owner	Decision?
FY25 year-to-date actuals	6, 11	Management accounts to date	Borrower finance lead	CHANGES THE DECISION
QoE report, in progress	7, 11	Final QoE with add-back schedule	QoE provider	CHANGES THE DECISION
Plant 3 environmental report	11	Environmental report	Borrower and counsel	CHANGES THE DECISION
SOFR, interest and amortisation	10	Rate assumption and amortisation schedule	Deal team	CHANGES THE DECISION
Downside case and covenant definitions	9	Downside model and definitions	Deal team	CHANGES THE DECISION
Hold size, security, guarantors	3	Term sheet	Deal team	CHANGES THE DECISION
Sponsor equity reconciliation	8	Equity schedule, existing equity	Sponsor	WORTH A QUESTION
Cash balance for net leverage	4, 9	Balance sheet at close	Borrower finance lead	WORTH A QUESTION
Top customer contracts	5	Contract review	Deal team	WORTH A QUESTION
FY21 revenue for FY22 growth	6	FY21 financial statements	Borrower finance lead	WORTH A QUESTION

Not built: industry, sponsor and collateral sections. Committee date not set. Gap markers on slides 3, 6 and 9 link here.
Source: test deal pack (missing items list).

Committee asked to approve $85.0M, with conditions that must close before funding

DECISION **Approve $85.0M with conditions**	Draft label for the committee. The verdict moves to decline or defer if any CHANGES THE DECISION item goes against the borrower.
CONDITIONS **Close before funding**	First, QoE final, with add-backs listed and judged. Second, plant 3 environmental report reviewed. Third, FY25 year-to-date actuals against budget. Fourth, debt service and downside case added to this memo. Fifth, sponsor equity reconciled to sources and uses.
REVERSES IF **Pro forma EBITDA below $20.0M**	That is the level where gross debt reaches 4.25x. Also reverse if FY25 actuals track below the organic budget of $25.3M.
NO DECISION **The request stays open**	No funds are committed. The QoE and environmental work continue, and the request returns at the next committee date, which is not yet set.

Source: test deal pack (requested terms, covenant proposal, FY2024 and FY25 budget EBITDA). Thresholds derived per facts.json.